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NETC 170 – IT Governance & Management

Module Three Assignment

Positive Digital Transformation Example

Digital transformation is “the procedure of using technology to change and drastically improve how businesses operate.” (Quixy Editorial Team) This type of corporate transformation “can be used to enhance customer experience, optimize internal processes, increase efficiency and productivity, develop new services and products, and create better strategies for growth.” (Quixy Editorial Team) Positive digital transformation, resulting in all of these effects, is greatly aided by strong IT-Business alignment. A great example of a company that experienced very positive digital transformation is IKEA.

IKEA’s digital transformation included many different areas of the business. One of the key areas that IKEA invested in digital transformation was in its customer experience. IKEA realized that many customers began their shopping experience not in the store, but online. As a result, IKEA “focused on e-commerce business and launched IKEA Place in 2017. This is an augmented reality application that enables customers to visualize how furniture will look in their homes before purchase.” (Dutta) The innovative use of the IKEA Place app helped to reduce the problem of choice with consumers, who could see the different options in their intended spaces through the augmented reality. (Dutta) It also resulted in decreased product returns. (Dutta)

In addition to improving the customer experience, IKEA invested in digital tools to aid other parts of its business. For example, sometimes “IKEA’s stores act as fulfillment centers adding agility to the shopping experience, whether it’s solely online or a hybrid kind.” (van der Zwan) This is accomplished through the use of artificial intelligence, as “its supply chain is

adjusted to consumer demand and market trends through predictions of A.I. and machine learning models.” (van der Zwan) By incorporating machine learning and artificial intelligence, IKEA was able to streamline its logistics and allow its stores to have more appropriate levels of inventory and selection based on consumer data.

Finally, “in 2017 the company also took over TaskRabbit, a platform to hire a skilled person to assemble furniture.” (Dutta) This added an additional level of service that the company could arrange for its consumers. With the addition of TaskRabbit, customers could not only purchase furniture from IKEA, but also hire someone to come out to their homes and build it for them! This comprehensive approach to the customer experience boosted sales.

By using technology to update and streamline the customer experience, logistics, and products/services, IKEA’s digital transformation has brought great success to the company. By streamlining its IT architecture, understanding all customer touchpoints, and digitizing internal and external operations, IKEA was able to demonstrate strong IT-Business alignment and its commitment to technology as a means to achieve its business goals (van der Zwan)

Contributions from Other Areas of the Business

In addition to strong IT-Business alignment, IKEA undoubtedly benefitted from contributions from several of its departments including its customer service department, logistics department, and product development departments. IKEA’s customer-first approach was at the heart of its digital transformation. This would have been greatly enhanced through clear communication from the customer service department, especially its representatives. For IKEA to develop the IKEA Place app as well as purchase TaskRabbit, it must have had an attentive ear to the information collected by its customer service representatives. It is reasonable to imagine that the application was tested by employees who interact with customers regularly so their

feedback would be more useful than from employees who are not customer-facing. Suggestions on features, functionality, or other components of the app may also have been part of the customer service department's contributions to this part of the digital transformation.

The Logistics department of the company ideally would have collaborated on the development of the LLM and AI tools to aid with the transformation of function of its stores as 'fulfillment centers'. The logistics department probably requested to test out different parts of this technology to see how it could streamline its shipping process not just for consumers, but internally for the sake of inventory. The Logistics department also likely had insights about manufacturing that would have aided the development of the AI and LLM tools to make the business more agile. These contributions as well as assistance in design were likely the contribution from the logistics department.

Finally, the product development team likely had a hand in the production, design, testing, and maybe even the conception of the IKEA Place app. It would make sense that this app take advantage of design elements, structures, or software that the product development team is already using – why reinvent the wheel? If the product development team has furniture designs, ideas, and examples, it likely contributed to the testing of the app, providing different furniture pieces of different dimensions and sizes so that the app developers could test the limits of the application. Finally, the product design team's digital arm probably worked with the app developers to ensure cohesiveness between IKEA's website, digital storefront, and IKEA Place application.

Conclusion

The digital transformation of IKEA is a prime example of IT-Business alignment, with contributions from several of its departments clearly seen in the results of its transformation.

IKEA's customer-first approach likely included the collaboration between customer services and the developers of the IKEA Place app, ensuring a seamless customer experience based on the insight and ideas of its customer-facing employees. The Logistics department's contributions helped the inception of AI and LLM tools to streamline the internal operations of the business and make it more agile. The product development team's likely contributions and collaboration with the app developers also ensured a cohesive experience that incorporated existing software and design elements within the company.

IKEA's success largely stems from the thorough collaboration between its departments, all aligned under the business' mission to provide the best customer experience possible. By leveraging digital tools like the IKEA Place app, LLM and AI tools to streamline its operations, and the purchase of different services such as TaskRabbit, IKEA has innovated its business and secured a future for itself through its digital transformation.

Sources

Dutta, Subhasish. “Top 11 Real-World Digital Transformation Examples.” *Turing*, 2024, <https://www.turing.com/resources/digital-transformation-examples>

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